

EVERYDAY ECON

THE ECONOMICS OF COFFEE SHOPS

Think of your local Starbucks, Dunkin Donuts, and other well-known coffee shops; they all sell coffee, but not in the same way. This is because coffee shops exemplify a market structure called monopolistic competition, where firms have low barriers to entry and sell products that are similar, but are differentiated.

Naturally, this competition lessens profits to some extent. Yet, despite this, coffee shops are able to make a lot of profit. Their unique products, loyal customers, and varying atmospheres allow them to survive even though many substitutes exist.

When countless businesses offer the same goods, it's the subtle differences that help firms stay afloat. You don't just pay for coffee; you pay for the location, ambiance, and individuality that sets the shop apart, and that's monopolistic competition in action.

*Starbucks
coffee shop*



THE TRAGEDY OF THE COMMONS IN CLIMATE POLICY

The Tragedy of the Commons is a concept that illustrates how when individuals act in their own self-interest, overusing and depleting a communal resource, it's against everybody's long-term interest. Though it might seem trivial, it's a situation that has become increasingly relevant. The atmosphere is shared by every country on Earth; thus, when nations emit greenhouse gases, they benefit economically while everyone is harmed environmentally. Nations are incentivized to free-ride, benefitting from other nations' reduced emissions without action on their end. Thus, climate mitigation is severely uninvested in and agreements don't come easily between countries.

Climate change is an extreme issue, and it's becoming increasingly necessary to cooperate, innovate and prioritize our planet over politics.

